

Weekly Fixed Income Note

Week ending: 8th October 2021

- T-bills remained undersubscribed for the seventh week running with the overall subscription rate decreasing to **40.93%** compared to the **42.22%** recorded last week. We partly attribute the undersubscription to investors eyeing the primary bond issue coupled with the tightened liquidity in the market. 91-day paper recorded the highest subscription at **85.56%**, with the 364-day paper recording the lowest at **24.39%.** With the current fiscal year borrowing being **71.83%** ahead of the prorated target, the CBK accepted **99.53%** of the **KES 9.82 Bn** worth of bids received. The yield all the papers maintained their upward momentum with the 91,182 and 364-day papers increasing by 4.0, 3.4 and 7.9 bps to **6.94%, 7.32%** and **8.03%,** respectively.

- In the Primary bonds market, the three reopened bonds, **FXD1/2013/15, FXD3/2019/15 and FXD1/2021/25,** recorded an undersubscription at **92.46%.** We attribute the underperformance to the tightening liquidity prevailing in the market. The longer dated paper, FXD1/2021/25, attracted the highest bids worth **KES 28.7 Bn**, with the FXD3/2019/2015 receiving the lowest subscription of bids worth **KES 3.3 Bn.** The government accepted **KES 52.05 Bn** against the target **KES 60.00 Bn.** The bonds with coupon rates of **11.25%, 12.34%** and **13.92%** attracted yields of **11.88%, 12.85%** and **13.82%,** respectively. We foresee CBK reopening a tap-sale in the coming days, so as to raise the targeted amount.

- In the secondary market, the value of bonds traded decreased by **45.05%** to **KES 13.03 Bn** from **KES 23.71 Bn** recorded last week. On a year-to-date basis the Yield Curve has readjusted upwards with the mid-range edging up by an average of 4.86 **bps** with the long end of the curve rising by **14.25bps**. FTSE Bond index closed the week at **96.85** taking the YTD loss to **1.13%.**

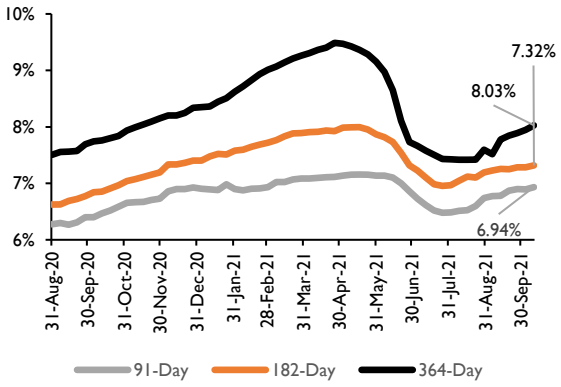
We expect activity in the secondary bond market to be driven by investors looking for entry positions on the recently issued primary bonds, as well as, the hunt for higher yields in longer dated papers. Continued borrowing by the government is likely to put some upward pressure across the yield curve, in the near term.

Macroeconomic data	Current	Previous
GDP (2020 vs. 2019)	(0.30%)	5.00%
Inflation (September)	6.91%	6.57%
Private sector credit growth (August)	7.00%	6.10%
Money Supply (June)	6.30%	7.60%

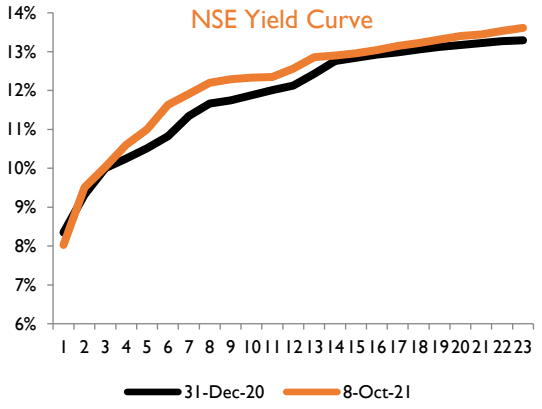
Key Indicators

	Current	Previous	% Change
91- Day	6.94%	6.90%	0.04%
182-Day	7.32%	7.28%	0.03%
364-Day	8.03%	7.89%	0.07%
Interbank Rate	6.35%	6.71%	0.36%

T-Bill Rates



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.20%** to trade at **110.72** from **110.49** at the close of last week. The depreciation was mainly driven by mismatch of dollar inflows form sectors such as agriculture and tourism and demand from energy importers due to the rise in global fuel prices. The shilling has depreciated by **1.41%** against the USD on a Year-To-Date basis. CBK's usable forex reserves, remain with statutory requirement, currently at **USD 9,365** million (**5.73** months of import cover), a **0.76%** week-on-week decline from **USD 9,437** million (**5.77** months of import cover) recorded last week.

We expect the local currency to continue under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism. Dollar inflows from diaspora remittance will continue supporting the local currency.

Liquidity

Liquidity in the money markets improved, during the week, as evidenced by the average interbank rate decreasing to **6.35%** from **6.71%** recorded in previous week. The improvement was mainly driven by government payments to the education sector as schools resume in the coming week. The central Bank was in action to mop up excess liquidity by accepting Term Auction Deposits (TADs) of **KES 33.10 Bn**, with the TAD Rates touching **6.78%**.

We expect the interbank rate to remain elevated in the region of 6.00%, for the coming week, mainly driven by aggressive open market operations by the CBK. However, government payments and the banking sector mobilization of end of quarter deposits should supply inflows.

September PMI

The Stanbic Purchasing Managers' Index (PMI) for the month of September 2021 decreased to **50.4** from the **51.1** recorded in August 2021. The decline is an indication that the Kenyan private sector business conditions expanded at a slower rate than seen in August 2021 and the slowest in five months. Domestic demand improved amid a slower export demand which was contrary to observations seen in recent months. Marginal increase in output was recorded mainly due to the rise in fuel prices which lead to an increase in work back log. There was also an improvement in purchases and employment. We remain concerned on the ability of the reading staying above the 50.0 point due to the rising inflation from increased price of commodities dampening any recovery being recorded. However, increased rate of vaccine inoculation provides the necessary boost on growth prospects.

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